

FINANCIAL REPORTS

LEADING THE PRIDE

We are focused on creating a vibrant future for our diverse stakeholders, safeguarding their interests, and driving collective growth year after year.

Lions are social creatures, thriving through strong connections and bonds within their pride. Their success lies in teamwork, with their leadership guiding them toward a future of prosperity and security. Similarly, mosaics represent the strength of individual elements coming together to form something greater and more resilient. This mirrors our approach of uniting all stakeholders to achieve the best possible outcome for everyone, regardless of their role.



SECTION 6

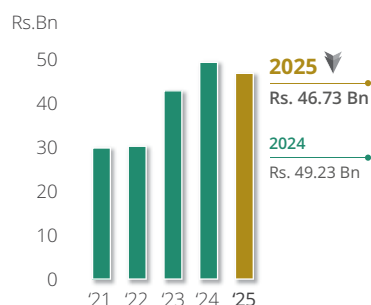
FINANCIAL INFORMATION

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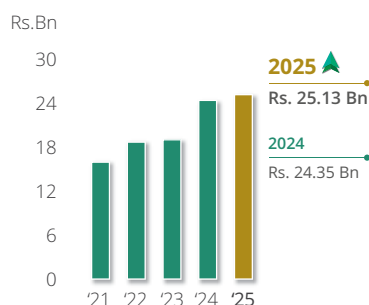
Financial Statement Highlights

Operating Results

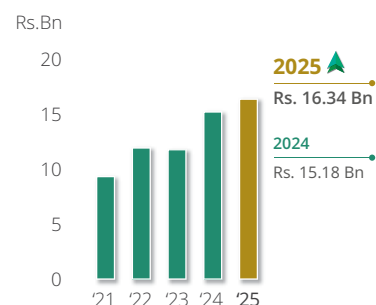
Income



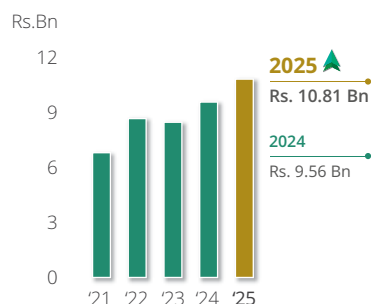
Net Interest Income



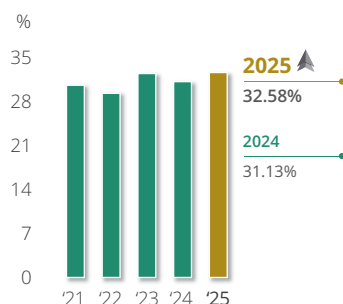
Profit before Taxation (PBT)



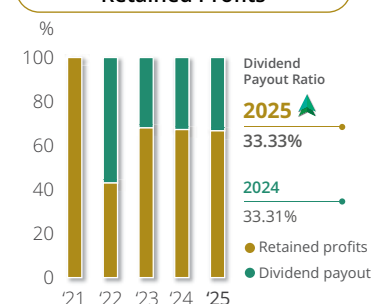
Profit after Taxation (PAT)



Cost to Income (CI Ratio)

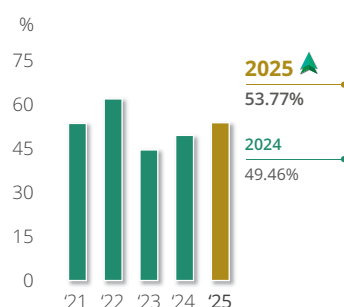


Dividend Payout vs Retained Profits



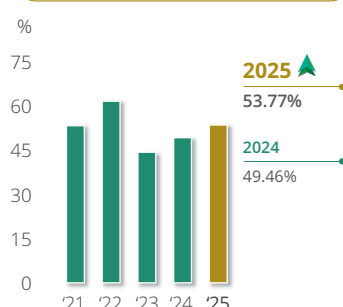
Profitability Ratios

Gross Profit Margin*



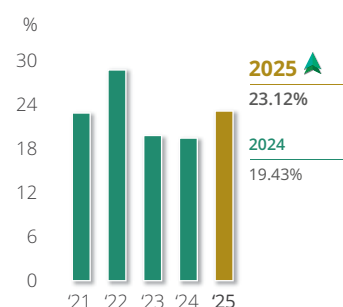
*Net interest income as a % of income

Operating Profit Margin*



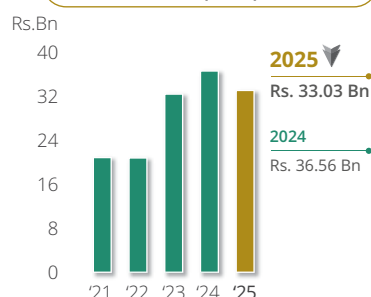
*Operating profit before tax as a % of income

Net Profit Margin*

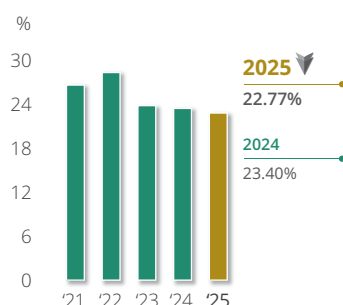


*Profit after tax as a % of income

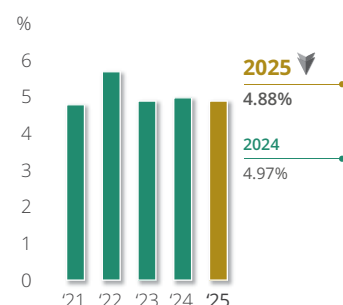
Earnings before Interest & Tax (EBIT)



Return on Equity (ROE)

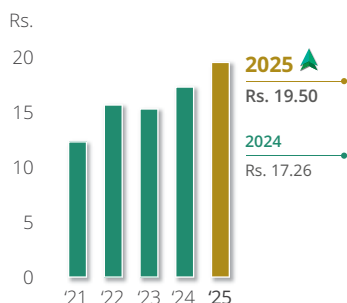


Return on Assets (ROA)

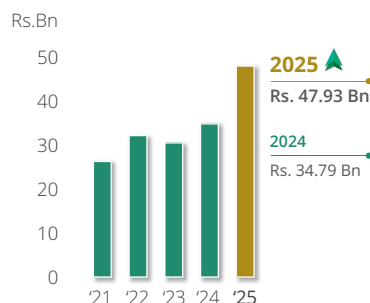


Equity Ratios

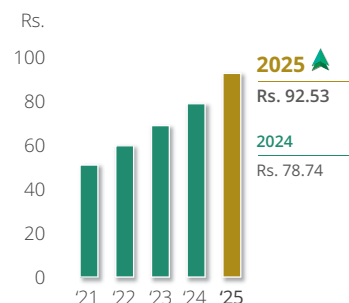
Earnings per Share (EPS)



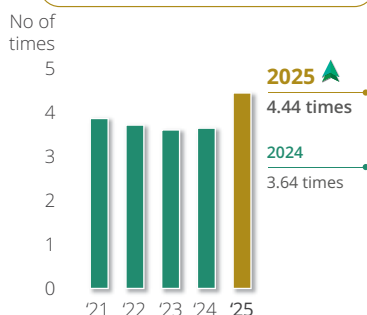
Market Capitalisation



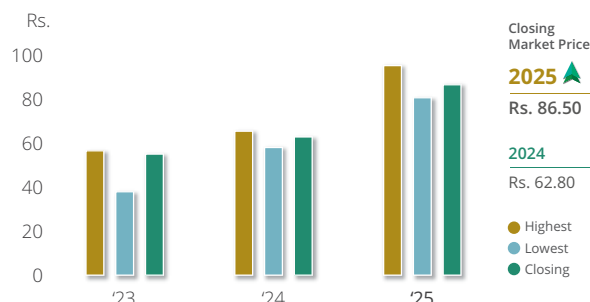
Net Asset Value per Share



Price Earnings Ratio

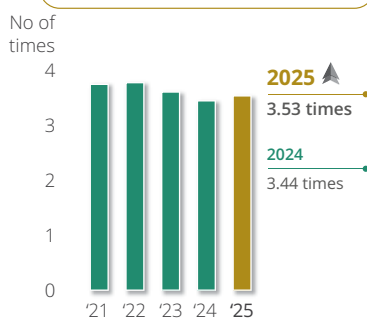


Market Price per Share

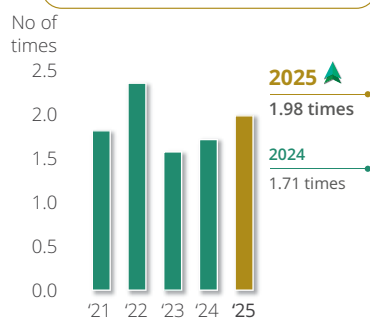


Debt Ratios

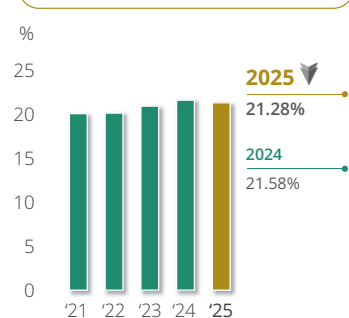
Debt to Equity Ratio



Interest Cover

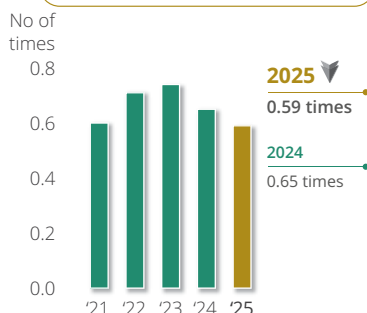


Equity Assets Ratio

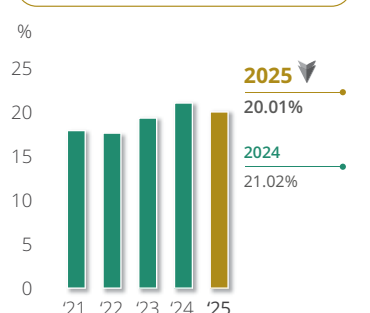


Liquidity Ratios

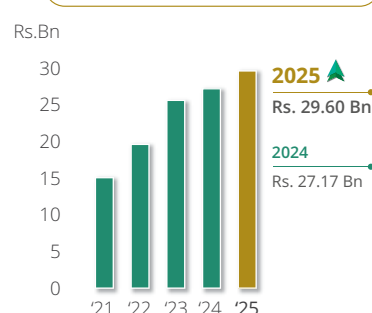
Quick Asset Ratio



Liquidity Ratio



Total Liquidity Reserves



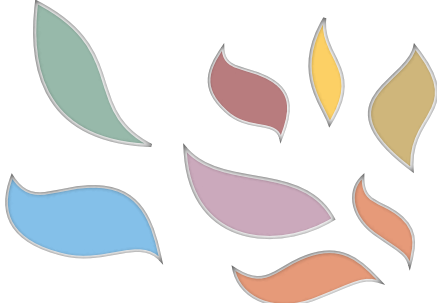
Financial Calendar

2024/25

15 May	Publication of Interim Financial Statements for the Quarter Ended 31 March 2024	27 May	Authorisation for Issue of Audited Financial Statements for 2023/24	04 June	Publication of Annual Report for the Financial Year Ended 31 March 2024
28 June	Held 51st Annual General Meeting of the Company	17 July	Publication of Interim Financial Statements for the Quarter Ended 30 June 2024	18 July	Payment of Final Dividend of Rs. 3.50 per Share for the Financial Year Ended 31 March 2024
16 October	Publication of Interim Financial Statements for the Quarter Ended 30 September 2024	22 January	Publication of Interim Financial Statements for the Quarter Ended 31 December 2024	21 March	Payment of Interim Dividend of Rs. 2.25 per Share for the Financial Year Ended 31 March 2025

2025/26

21 May	Publication of Interim Financial Statements for the Quarter Ended 31 March 2025	05 June	Publication of Annual Report for the Financial Year Ended 31 March 2025	30 June	52nd Annual General Meeting of the Company
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21 July	Payment of Final Dividend of Rs. 4.25 per Share for the Financial Year Ended 31 March 2025*	Submission of the Interim Financial Statements in terms of the rule 7.4 of the Colombo Stock Exchange (CSE)	2024/25 Submitted on	2025/26 to be Submitted on or before
		For the 3 Months Ended 30 June (Unaudited)	17 July 2024	15 August 2025
		For the 3 and 6 Months Ended 30 September (Unaudited)	16 October 2024	15 November 2025
		For the 3 and 9 Months Ended 31 December (Unaudited)	22 January 2025	15 February 2026
		For the 3 Months and Year Ended 31 March (Unaudited)	21 May 2025	30 May 2026

Publication of the Six Month Financial Statements as per Requirements of the Central Bank of Sri Lanka	2024/25 Published in News Papers on			2025/26 to be Published on or before
	English	Sinhala	Tamil	
For the Year Ended 31 March (Audited)	25 June 2024	25 June 2024	25 June 2024	30 June 2025
For the 6 Months Ended 30 September (Unaudited)	21 November 2024	21 November 2024	21 November 2024	30 November 2025

* Subject to confirmation by Shareholders at the Annual General Meeting.

Independent Auditors' Report



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TO THE SHAREHOLDERS OF LB FINANCE PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of LB Finance PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at March 31, 2025, statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policies and other explanatory information.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at March 31, 2025, and of its financial performance and its cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Group in accordance with the Code of Ethics for professional Accountants issued by CA Sri Lanka (Code

of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Company and the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the Company and the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Risk Description	Our Responses
Allowances for Expected Credit Losses of Financial Assets at Amortized Cost - Loans and Receivables Allowances for expected credit losses of financial assets amounting to 7.1 Bn arising from loans and receivables of LKR 204.8 Bn (Note 2.17) is determined by the management based on the accounting policies described in Note 2.18. High degree of complexity and judgment are involved in estimating Expected Credit Loss (ECL) on Loans and receivables to the customers. Collective impairment is calculated using internally developed statistical models which are inherently complex, and judgment is required in developing the models. There is a number of key inputs and assumptions used by the Company in applying the requirements of SLFRS 9 to the models including definition of significant increase in credit risk (SICR), selection and input of forward-looking information, past due information, historical loss parameters etc.	Our audit procedures to assess the allowances for ECL included the following: Testing key controls of the Company in relation to: - The ECL model governance and validation processes which involved assessment of model performance; - The assessment and approval of the forward-looking macroeconomic assumptions through challenge applied by internal governance processes; <i>Assessing the adequacy of collective impairment by:</i> - Assessing the accuracy of the data used in the ECL models by checking a sample of data fields such as account balance, days past due, interest rate to relevant source systems. - Working with our Financial Risk Management (FRM) specialist we carried out the following procedures: - Assessed the accuracy of the ECL model estimates by re-performing, for a sample of loans and comparing this to the amount recorded by the Company; - Examined the model design and calculation approach compared with industry standards.

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Independent Auditors' Report

Risk Description	Our Responses
Some of these assumptions and inputs are heavily dependent upon the macroeconomic environment, also additional adjustments and overlays are provided to the model to reflect the effects of current economic developments to address known model limitations due to emerging trends in the economy and the portfolios. Accordingly, due to the significance of the value of the Financial Assets at Amortised Cost - Loans and Receivables relative to total assets, subjectivity and complexity of the significant judgments involved and estimation uncertainty associated with the impairment provision calculation, we considered impairment of loans and receivables as a Key Audit Matter.	<i>Assessing the adequacy of post model adjustments</i> We challenged key assumptions in the components of the Company's post-model adjustments to the ECL allowance balance. This included: • Assessing post-model adjustments against the Company's ECL model and data deficiencies identified by the Company's ECL model validation processes, particularly in light of the significant volatility in economic scenarios; • Assessing the completeness of post-model adjustments by checking the consistency of overlay criteria we identified in the loan portfolios against the Company's assessment. We also assessed the appropriateness of the related disclosures in the financial statements using our understanding obtained from our testing and against the requirements of Sri Lanka Accounting Standards.
Information Technology (IT) systems and controls over financial reporting. The Company's key financial accounting and reporting processes are highly dependent on the automated controls over the Company's information systems. The controls over access, changes to and operations, integrations of IT systems are key to the recording of financial transactions/ information and the preparation of financial statements which provide a true and fair view of the Company's financial position and performance. Key areas of importance are system calculations in relation to significant accounts including interest calculations, updating of the general ledger, interface between different modules within the system etc. The IT systems and controls, as they impact the recording and reporting of financial transactions, is a key audit matter as our audit approach could significantly differ depending on the effective operation of the Company's IT controls.	Our audit procedures included the following key procedures: Our audit procedures included; We worked with KPMG IT Audit specialists to perform audit procedures to assess IT systems and controls over financial reporting, which included: • Obtaining an understanding of and assessing the design, implementation and operating effectiveness of general IT controls in relation to financial accounting and reporting system involving restrictions on system access, permissions and responsibilities of the authorized users, process for approving changes to the systems etc; • Examining the framework of governance over the Company's IT organization and the controls over programme development and changes, access to programmes and data and IT operations, including compensating controls where required; • Evaluating the design, implementation and operating effectiveness of the specific application controls which are required to be operating effectively to mitigate the risk of misstatement in the financial statements; • Assessing the availability and stability of key operating systems, taking into consideration the rapid development of business types and transactions volumes as well as IT projects that have a significant impact on business continuity; • Re-performing selected automated computations and comparing the results with the system calculations and the general ledger. • Testing the access rights given to staff by checking them to approved records, and inspecting the reports over the granting and removal of access rights; • Testing manual compensating controls, such as reconciliations between systems and other information sources and performed additional substantive testing such as using extended sample sizes and performing data analysis routines over the full population of transactions. • Tested source data of the reports used to generate disclosures for accuracy and completeness



Other Matter

The financial statements of LB Finance PLC for the year ended 31st March 2024, were audited by another auditor who expressed an unmodified opinion on those statements on 27th May 2024.

Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSS will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSS, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's and Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We- are responsible for the direction, supervision, and performance of the Group audit. We remain solely responsible for our audit opinion.

Independent Auditors' Report

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is FCA 3272.

KPMG
Colombo, Sri Lanka

30 May 2025



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Income Statement

Year ended 31 March	Note	Page No.	Company			Group		
			2025 Rs. '000	2024 Rs. '000	Change %	2025 Rs. '000	2024 Rs. '000	Change %
Income	2.1	370	46,730,955	49,230,095	(5)	47,156,260	49,635,771	(5)
Interest Income	2.1.2	370	41,815,458	45,729,853	(9)	42,201,896	46,102,501	(8)
Less: Interest Expenses	2.1.5	371	16,687,381	21,379,499	(22)	16,783,707	21,460,631	(22)
Net Interest Income	2.1.1	370	25,128,077	24,350,354	3	25,418,189	24,641,870	3
Fee and Commission Income	2.2	372	4,604,441	3,186,422	45	4,642,914	3,217,460	44
Net Trading Income	2.3	372	101,101	141,629	(29)	101,101	141,629	(29)
Other Operating Income	2.4	373	209,955	172,191	22	210,349	174,181	21
Total Operating Income			30,043,574	27,850,596	8	30,372,553	28,175,140	8
Less: Impairment Charges/(Reversals)	2.5	373	(256,236)	373,236	(>100)	(261,031)	270,093	(>100)
Net Operating Income			30,299,810	27,477,360	10	30,633,584	27,905,047	10
Less: Operating Expenses								
Personnel Expenses	2.6	377	5,146,257	4,376,475	18	5,267,903	4,503,482	17
Depreciation of Property, Plant and Equipment	2.7.1	378	979,953	866,348	13	987,173	882,572	12
Amortisation of Intangible Assets	2.7.2	378	13,128	8,414	56	14,355	11,189	28
Other Operating Expenses	2.8	379	3,649,089	3,418,294	7	3,768,235	3,543,136	6
Total Operating Expenses			9,788,427	8,669,531	13	10,037,666	8,940,379	12
Operating Profit before Tax on Financial Services			20,511,383	18,807,829	9	20,595,918	18,964,668	9
Less: Tax on Financial Services	2.9	379	4,169,710	3,627,622	15	4,183,241	3,630,243	15
Profit before Taxation			16,341,673	15,180,207	8	16,412,677	15,334,425	7
Less: Income Tax Expense	2.10.1 (a)	380	5,536,039	5,616,569	(1)	5,550,743	5,627,414	(1)
Profit for the Year			10,805,634	9,563,638	13	10,861,934	9,707,011	12
Profit Attributable to:								
Equity Holders of the Company			10,805,634	9,563,638	13	10,860,002	9,713,917	12
Non-Controlling Interest	2.37	444	-	-	-	1,932	(6,906)	>100
Profit for the Year			10,805,634	9,563,638	13	10,861,934	9,707,011	12
Earnings per Share:								
Basic/Diluted (Rs.)	2.11.1	382	19.50	17.26	13	19.60	17.53	12
Dividend per Share (Rs.)	2.12	382						
Dividend per Share : Gross (Rs.)			6.50*	5.75	13			
Dividend per Share : Net (Rs.)			5.53*	4.89	13			

*Dividend per share is calculated based on the interim dividend paid and the proposed final dividend which is to be approved at the Annual General Meeting.

Accounting Policies and Notes from pages 363 to 478 form an integral part of these Financial Statements.

Statement of Profit or Loss and Comprehensive Income

Year ended 31 March	Note	Page No.	Company			Group		
			2025 Rs. '000	2024 Rs. '000	Change %	2025 Rs. '000	2024 Rs. '000	Change %
Profit for the Year			10,805,634	9,563,638	13	10,861,934	9,707,011	12
Other Comprehensive Income that will be Reclassified to Income Statement								
Gains/(Losses) from Translating the Financial Statements of the Foreign Operations	2.35.3	443	-	-	-	(13,210)	(73,048)	(82)
Less: Deferred Tax Charge/(Reversal) on above Items			-	-	-	-	-	-
Net Other Comprehensive Income that will be Reclassified to Income Statement			-	-	-	(13,210)	(73,048)	(82)
Other Comprehensive Income that will never be Reclassified to Income Statement								
Net Gains/(Losses) on Investment in Equity Instruments - Fair Value Through Other Comprehensive Income	2.35.2	443	8,649	1,199	>100	8,649	1,199	>100
Actuarial Gains/(Losses) on Defined Benefit Plans	2.33.3	441	16,392	(53,706)	>100	16,392	(54,333)	>100
Less: Deferred Tax Charge/(Reversal) on Actuarial Gains and Losses	2.10.1 (b)	380	4,917	(16,112)	>100	4,917	(16,112)	>100
Net Actuarial Gains/(Losses) on Defined Benefit Plans			11,475	(37,594)	>100	11,475	(38,221)	>100
Net Other Comprehensive Income that will never be Reclassified to Income Statement			20,124	(36,395)	>100	20,124	(37,022)	>100
Other Comprehensive Income for the Year, Net of Tax			20,124	(36,395)	>100	6,914	(110,070)	>100
Total Comprehensive Income for the Year, Net of Tax			10,825,758	9,527,243	14	10,868,848	9,596,941	13
Attributable to:								
Equity Holders of the Company			10,825,758	9,527,243	14	10,866,916	9,604,068	13
Non-Controlling Interest			-	-	-	1,932	(7,127)	>100
Total Comprehensive Income for the Year, Net of Tax			10,825,758	9,527,243	14	10,868,848	9,596,941	13

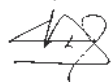
Accounting Policies and Notes from pages 363 to 478 form an integral part of these Financial Statements.

Statement of Financial Position

As at 31 March	Note	Page No.	Company			Group		
			2025 Rs. '000	2024 Rs. '000	Change %	2025 Rs. '000	2024 Rs. '000	Change %
Assets								
Cash and Cash Equivalents	2.15	397	9,024,016	7,406,083	22	9,074,745	7,651,260	19
Financial Assets Recognised Through Profit or Loss								
- Measured at Fair Value	2.16	398	718,402	1,923,016	(63)	718,402	1,923,016	(63)
Financial Assets at Amortised Cost								
- Loans and Receivables	2.17	399	197,766,691	161,291,486	23	199,271,047	162,521,733	23
Financial Assets Measured at Fair Value								
Through Other Comprehensive Income	2.19	411	165,024	118,587	39	165,024	118,589	39
Other Financial Assets	2.20	413	21,201,500	20,374,770	4	21,188,612	20,443,404	4
Other Non Financial Assets	2.21	414	439,475	430,651	2	480,168	495,796	(3)
Investment in Subsidiaries	2.22	415	521,162	698,935	(25)	-	-	-
Property, Plant and Equipment and Right-of-Use Assets	2.23	420	9,725,513	8,984,363	8	9,751,574	9,034,106	8
Investment Properties	2.24	426	5,385	-	-	5,385	5,050	7
Intangible Assets	2.25	429	67,113	20,701	>100	67,113	22,602	>100
Deferred Tax Assets	2.26	432	1,255,960	927,914	35	1,262,343	932,330	35
Total Assets			240,890,241	202,176,506	19	241,984,413	203,147,886	19
Liabilities								
Due to Banks	2.27	434	37,411,682	21,702,012	72	37,799,707	21,955,857	72
Financial Liabilities at Amortised Cost - Due to Depositors	2.28	436	138,496,872	122,808,124	13	138,823,896	123,034,547	13
Debt Instruments Issued and Other Borrowed Funds	2.29	437	5,005,405	5,491,401	(9)	5,005,405	5,491,401	(9)
Other Financial Liabilities	2.30	437	4,303,422	3,757,776	15	4,305,386	3,815,897	13
Other Non Financial Liabilities	2.31	439	1,671,989	1,547,570	8	1,718,969	1,591,382	8
Current Tax Liabilities	2.32	439	2,182,738	2,770,496	(21)	2,188,770	2,775,700	(21)
Post Employment Benefit Liability	2.33	440	552,135	473,058	17	552,135	475,109	16
Total Liabilities			189,624,243	158,550,437	20	190,394,268	159,139,893	20
Equity								
Stated Capital	2.34	442	838,282	838,282	-	838,282	838,282	-
Reserves	2.35	443	9,521,361	8,972,430	6	9,633,154	9,097,433	6
Retained Earnings	2.36	444	40,906,355	33,815,357	21	41,118,709	33,975,540	21
Total Equity Attributable to Equity Holders of the Company			51,265,998	43,626,069	18	51,590,145	43,911,255	17
Non-Controlling Interest	2.37	444	-	-	-	-	96,738	-
Total Equity			51,265,998	43,626,069	18	51,590,145	44,007,993	17
Total Liabilities and Equity			240,890,241	202,176,506	19	241,984,413	203,147,886	19
Commitments and Contingencies	3.5	453	4,209,020	2,281,890	84	3,962,095	2,030,940	95
Net Asset Value per Share (Rs.)	3.6	454	92.53	78.74	18	93.11	79.25	17

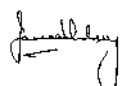
Accounting Policies and Notes from pages 363 to 478 form an integral part of these Financial Statements.

I certify that these Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007.



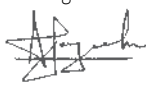
Malith Hewage
Chief Financial Officer

The Board of Directors is responsible for these Financial Statements. Approved and signed for and on behalf of the Board of Directors by,



J A S Sumith Adhihetty
Managing Director

30 May 2025
Colombo



Ashane Jayasekara
Director

Statement of Changes in Equity - Company

	Note	Page No.	Stated Capital Rs. '000	Retained Earnings Rs. '000	Statutory Reserve Rs. '000	Fair Value Reserve Rs. '000	Total Equity Rs. '000
Balance as at 31 March 2023			838,282	28,784,409	8,539,799	(46,750)	38,115,740
Net Profit for the Year			-	9,563,638	-	-	9,563,638
Other Comprehensive Income, Net of Tax			-	(37,594)	-	1,199	(36,395)
Total Comprehensive Income for the Year, Net of Tax			-	9,526,044	-	1,199	9,527,243
Transactions with Owners, Recognised Directly in Equity, Contributions and Distributions to Owners							
Transfers During the Year	2.35.1	443	-	(478,182)	478,182	-	-
Interim Dividend for 2022/23			-	(1,108,114)	-	-	(1,108,114)
Final Dividend for 2022/23			-	(1,662,171)	-	-	(1,662,171)
Interim Dividend for 2023/24	2.12	382	-	(1,246,629)	-	-	(1,246,629)
Total Transactions with Equity Holders			-	(4,495,096)	478,182	-	(4,016,914)
Balance as at 31 March 2024			838,282	33,815,357	9,017,981	(45,551)	43,626,069
Net Profit for the Year			-	10,805,634	-	-	10,805,634
Other Comprehensive Income, Net of Tax			-	11,475	-	8,649	20,124
Total Comprehensive Income for the Year, Net of Tax			-	10,817,109	-	8,649	10,825,758
Transactions with Owners, Recognised Directly in Equity, Contributions and Distributions to Owners							
Transfers During the Year	2.35.1	443	-	(540,282)	540,282	-	-
Final Dividend for 2023/24	2.12	382	-	(1,939,200)	-	-	(1,939,200)
Interim Dividend for 2024/25	2.12	382	-	(1,246,629)	-	-	(1,246,629)
Total Transactions with Equity Holders			-	(3,726,111)	540,282	-	(3,185,829)
Balance as at 31 March 2025			838,282	40,906,355	9,558,263	(36,902)	51,265,998

Figures in brackets indicate deductions.

Accounting Policies and Notes from pages 363 to 478 form an integral part of these Financial Statements.

Statement of Changes in Equity - Group

	Note	Page No.	Stated Capital	Retained Earnings	Statutory Reserve	Fair Value Reserve	Foreign Currency Translation Reserve	Total Equity Attributable to Equity Holders of the Company	Non-Controlling Interest	Total Equity
			Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance as at 31 March 2023			838,282	28,794,719	8,539,799	(46,750)	198,051	38,324,101	103,865	38,427,966
Net Profit for the Year			-	9,713,917	-	-	-	9,713,917	(6,906)	9,707,011
Other Comprehensive Income, Net of Tax			-	(38,000)	-	1,199	(73,048)	(109,849)	(221)	(110,070)
Total Comprehensive Income for the Year, Net of Tax			-	9,675,917	-	1,199	(73,048)	9,604,068	(7,127)	9,596,941
Transactions with Owners, Recognised Directly in Equity, Contributions and Distributions to Owners										
Transfers During the Year	2.35.1	443	-	(478,182)	478,182	-	-	-	-	-
Interim Dividend for 2022/23			-	(1,108,114)	-	-	-	(1,108,114)	-	(1,108,114)
Final Dividend for 2022/23			-	(1,662,171)	-	-	-	(1,662,171)	-	(1,662,171)
Interim Dividend for 2023/24	2.12	382	-	(1,246,629)	-	-	-	(1,246,629)	-	(1,246,629)
Total Transactions with Equity Holders			-	(4,495,096)	478,182	-	-	(4,016,914)	-	(4,016,914)
Balance as at 31 March 2024			838,282	33,975,540	9,017,981	(45,551)	125,003	43,911,255	96,738	44,007,993
Net Profit for the Year			-	10,860,002	-	-	-	10,860,002	1,932	10,861,934
Other Comprehensive Income, Net of Tax			-	11,475	-	8,649	(13,210)	6,914	-	6,914
Total Comprehensive Income for the Year, Net of Tax			-	10,871,477	-	8,649	(13,210)	10,866,916	1,932	10,868,848
Transactions with Owners, Recognised Directly in Equity, Contributions and Distributions to Owners										
Transfers During the Year	2.35.1	443	-	(540,282)	540,282	-	-	-	-	-
Adjustments Due to Amalgamation with Subsidiary	2.37.1	445	-	(2,197)	-	-	-	(2,197)	(98,670)	(100,867)
Final Dividend for 2023/24	2.12	382	-	(1,939,200)	-	-	-	(1,939,200)	-	(1,939,200)
Interim Dividend for 2024/25	2.12	382	-	(1,246,629)	-	-	-	(1,246,629)	-	(1,246,629)
Total Transactions with Equity Holders			-	(3,728,308)	540,282	-	-	(3,188,026)	(98,670)	(3,286,696)
Balance as at 31 March 2025			838,282	41,118,709	9,558,263	(36,902)	111,793	51,590,145	-	51,590,145

Figures in brackets indicate deductions.

Accounting Policies and Notes from pages 363 to 478 form an integral part of these Financial Statements.

Statement of Cash Flows

Accounting Policy

The Cash Flow Statement has been prepared by using 'The Indirect Method' in accordance with the Sri Lanka Accounting Standard - LKAS 07 (Statement of Cash Flows), whereby operating activities, financing activities and investing activities have been recognised. Cash and cash equivalents comprise short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value. The cash and cash equivalents consist of cash in hand, balances with banks, placements with banks, money at call and short notice.

			Company		Group	
Year ended 31 March	Note	Page No.	2025 Rs. '000	2024 Rs. '000	2025 Rs. '000	2024 Rs. '000
Cash Flows From/(Used in) Operating Activities						
Profit before Taxation			16,341,673	15,180,207	16,412,677	15,334,425
Adjustments for -						
Depreciation of Property, Plant and Equipment	2.7.1	378	979,953	866,348	987,173	882,572
Amortisation of Intangible Assets	2.7.2	378	13,128	8,414	14,355	11,189
Impairment Charges/(Reversals)	2.5	373	(256,236)	373,236	(261,031)	270,093
Diminution/(Appreciation) in Value of Investments	2.3	372	(2,676)	(4,021)	(2,676)	(4,021)
(Gains)/Losses from Fair Value Changes of Investment Properties			(335)	-	(335)	(500)
Loss/(Profit) on Disposal of Property, Plant and Equipment	2.4	373	(35,295)	(37,533)	(35,295)	(37,533)
Provision/(Reversal) for Defined Benefit Plans	2.33.2	440	153,447	118,285	153,692	119,098
Foreign Currency Exchange (Gains)/Losses			-	-	(129)	92
Dividend Received			(4,081)	(3,720)	(4,126)	(3,720)
Net Unrealised (Gains)/Losses Arising from Translating the Financial Statements of Foreign Operations			-	-	13,210	73,048
Operating Profit before Changes in Operating Assets and Liabilities			17,189,578	16,501,216	17,277,515	16,644,743
(Increase)/Decrease in Operating Assets						
(Increase)/Decrease in Financial Assets at Amortised Cost - Loans and Receivables			(36,151,880)	(16,298,738)	(36,486,665)	(16,358,677)
(Increase)/Decrease in Other Financial Assets			(826,636)	1,357,315	(745,114)	1,313,656
(Increase)/Decrease in Other Non Financial Assets			(307,328)	(100,923)	(314,378)	(102,545)
			(37,285,844)	(15,042,346)	(37,546,157)	(15,147,566)
Increase/(Decrease) in Operating Liabilities						
Increase/(Decrease) in Financial Liabilities at Amortised Cost - Due to Depositors			15,616,516	8,796,425	15,789,349	8,786,294
Increase/(Decrease) in Other Financial Liabilities			133,295	404,919	134,594	277,323
Increase/(Decrease) in Other Non Financial Liabilities			538,214	541,737	521,423	535,353
			16,288,025	9,743,081	16,445,366	9,598,970

Figures in brackets indicate deductions.

Accounting Policies and Notes from pages 363 to 478 form an integral part of these Financial Statements.

Statement of Cash Flows

Year ended 31 March	Note	Page No.	Company		Group	
			2025 Rs. '000	2024 Rs. '000	2025 Rs. '000	2024 Rs. '000
Cash Generated From Operations			(3,808,241)	11,201,951	(3,823,276)	11,096,147
Retirement Benefit Liabilities Paid	2.33.1	440	(60,274)	(64,490)	(60,274)	(65,826)
Income Tax Paid	2.10.4	381	(6,523,612)	(5,211,237)	(6,539,352)	(5,226,371)
Net Cash From/(Used in) Operating Activities			(10,392,127)	5,926,224	(10,422,902)	5,803,950
Cash Flows From/(Used in) Investing Activities						
Acquisition of Property, Plant and Equipment and Right-of-Use Assets	2.23.5	424	(1,142,746)	(884,570)	(1,163,208)	(905,130)
Acquisition of Intangible Assets	2.25.1	431	(58,876)	(6,487)	(58,876)	(6,487)
Proceeds from Sale of Property, Plant and Equipment			176,523	74,181	176,746	74,181
Sale/(Purchase) of Financial Investments - Held for Trading			1,207,289	(1,364,686)	1,207,289	(1,364,686)
Sale/(Purchase) of Financial Investments - Available for Sale			(37,785)	-	(37,785)	-
Dividend Received			4,081	3,720	4,126	3,720
Net Cash Flows From/(Used in) Investing Activities			148,486	(2,177,842)	128,292	(2,198,402)
Cash Flows From/(Used in) Financing Activities						
Cash Flows from Debt Funding from Banks			30,825,463	17,149,079	30,962,538	17,419,398
Repayment of Debt Funding from Banks			(15,245,816)	(15,361,540)	(15,245,816)	(15,402,504)
Cash Flows from Debt Instruments Issued and Other Borrowed Funds			218,429	3,936,235	218,429	3,936,235
Repayment of Debt Instruments Issued and Other Borrowed Funds			(704,424)	(2,326,851)	(704,424)	(2,326,856)
Payment of Lease Liabilities/Advance Payment for Right-of-Use Assets			(327,990)	(272,447)	(327,990)	(272,447)
Payment to Acquire Non Controlling Interest	2.37.1	445	(100,867)	-	(100,867)	-
Dividends Paid			(3,210,904)	(3,991,839)	(3,210,904)	(3,991,839)
Net Cash Flows From/(Used in) Financing Activities			11,453,891	(867,363)	11,590,966	(638,013)
Net Increase/(Decrease) in Cash and Cash Equivalents			1,210,250	2,881,019	1,296,356	2,967,535
Addition on Merger with Subsidiary			277,659	-	-	-
Cash and Cash Equivalents at the Beginning of the Year			6,370,533	3,489,514	6,612,815	3,645,280
Cash and Cash Equivalents at the End of the Year	2.15.3	397	7,858,442	6,370,533	7,909,171	6,612,815
Operational Cash Flows from Interest						
Interest Received			41,908,721	47,550,657	42,063,505	47,923,305
Interest Paid			16,789,500	21,621,381	16,791,332	21,702,512

Figures in brackets indicate deductions.

Accounting Policies and Notes from pages 363 to 478 form an integral part of these Financial Statements.

Notes to the Financial Statements

1 MATERIAL ACCOUNTING POLICIES AND NOTES - GENERAL

Accounting policy relating to each accounting topic is given along with the relevant note to the Financial Statements. The other significant accounting policies are described below;

Corporate Information

1.1 Reporting Entity

LB Finance PLC, is a domiciled, public limited liability Company incorporated in Sri Lanka on 30 May 1971 under the Companies Act No. 51 of 1938. The Company was re-registered under the Companies Act No. 07 of 2007. It is a Licensed Finance Company registered under the Finance Business Act No. 42 of 2011 and amendments thereto. The registered office of the Company is located at No. 275/75, Prof. Stanley Wijesundara Mawatha, Colombo 07. The shares of the Company have a primary listing on the Colombo Stock Exchange. The staff strength of the Company as at 31 March 2025 was 4,407 (2024 - 4,132).

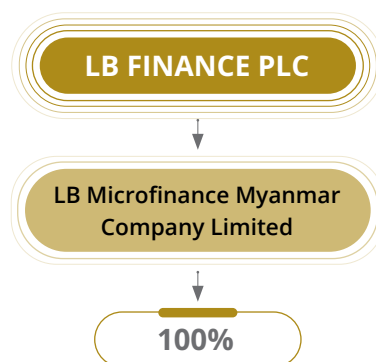
For purposes of this report, "LB Finance", the "Company", "we", "our", "us" or similar references mean LB Finance PLC.

1.2 Consolidated Financial Statements

The Consolidated Financial Statements as at and for the year ended 31 March 2025, comprise the LB Finance PLC (Parent Company) and its Subsidiaries (together referred to as the "Group" and individually as "Group entities").

The Company's parent undertaking is Vallibel One PLC. The Company's ultimate parent undertaking is Vallibel One PLC, which is incorporated in Sri Lanka. The Company's ultimate controlling party is Mr. Dhammika Perera.

1.3 Principal Business Activities, Nature of Operations of the Group and Ownership by the Company in Its Subsidiaries



LB Finance PLC

The Company provides a comprehensive range of financial services encompassing Acceptance of Fixed Deposits, Maintenance of Savings Accounts, Providing Finance Lease, Mortgage Loans, Gold Loans, Personal Loans, Other Credit Facilities, Digital Financial Services and Value Added Services.

There were no significant changes in the nature of the principal activities of the Company during the Financial Year under review, except for the amalgamation described below.

LB Finance PLC, as the reporting entity, absorbed Multi Finance PLC during the financial year ended 31 March 2025, following the acquisition of the remaining shares. The amalgamation was carried out in accordance with the applicable legal and regulatory requirements.

LB Microfinance Myanmar Company Limited

LB Microfinance Myanmar Company Limited was incorporated in Myanmar on 22 May 2017 as a 99% (31 March 2025 - 100%) owned subsidiary of LB Finance PLC.

The principal business activities include engaging in microfinance lending. A license was issued by the Myanmar Microfinance Supervisory Committee to operate as a microfinance institution.

Multi Finance PLC

Multi Finance PLC was incorporated in Kandy on 14 October 1974 as a Limited Liability Company and was listed on the Colombo Stock Exchange on 13 July 2011. It was initially acquired by LB Finance PLC on 16 March 2022, and as at 31 March 2024, LB Finance PLC held a 64.76% stake.

During the Financial Year ended 31 March 2025, LB Finance PLC acquired the remaining stake of Multi Finance PLC, thereby increasing its ownership to 100%. Subsequently, Multi Finance PLC was amalgamated with LB Finance PLC in accordance with applicable legal and regulatory requirements. As a result, Multi Finance PLC ceased to exist as a separate legal entity, and its operations have been fully integrated into LB Finance PLC.

1.4 Approval of Financial Statements by Directors

The Financial Statements of the Group and the Company for the year ended 31 March 2025 (including comparatives for 31 March 2024) were approved and authorised for issue by the Board of Directors in accordance with the resolution of the Directors on 30 May 2025.

1.5 Statement of Compliance

The Consolidated Financial Statements of the Group and the Separate Financial Statements of the Company, which comprise the Statement of Financial Position, Income Statement, Statement